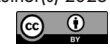
Check for updates

A symposium remembering Simon Clarke

Capital & Class

Ideology, political economy and the crisis of the capitalist state

Capital & Class
2023, Vol. 47(2) 183–188
© The Author(s) 2023



Article reuse guidelines:
sagepub.com/journals-permissions
DOI: 10.1177/03098168231171789
journals.sagepub.com/home/cnc

Peter Burnham
University of Birmingham, UK

Werner Bonefeld
University of York, UK

Peter Fairbrother
University of Tasmania, Australia

Abstract

Keynesianism, Monetarism, and the Crisis of the State is perhaps Simon's greatest intellectual and political contribution. This article sets the book in the context of his teaching at Warwick and the development of his thought through Marx, *Marginalism and Modern Sociology* to the publication of *Keynesianism*. Building on his analysis of the ideological dimensions of classical political economy, Simon set himself the ambitious task of grasping the coherence and complexity of the relationship between economics, politics and ideology in the crisis-ridden development of capitalism. In so doing, he developed a work of immense significance fusing conceptual and empirical analysis to produce a devastating critique of social democracy, neoliberalism and reformism. Although read widely within Conference of Socialist Economists circles, *Keynesianism* has not achieved the recognition it clearly deserves. Post-*Keynesianism*, Simon extended his analysis to worker organisation in Russia and beyond. His theoretical and empirical work on capitalism in all its forms offers a unique and enduring contribution to everyone interested in socialism and the limits of reform.

Corresponding author:
Peter Burnham, Department of Politics and International Studies, University of Birmingham, Birmingham, B15 2TT, UK.
Email:p.burnham@bham.ac.uk

Keywords
capital, class struggle, money, state

Introduction

Simon Clarke made a unique and enduring contribution to the academic world and the international socialist movement. A man of genuine charisma, committed to the highest standards of intellectual enquiry, Simon embodied a lifelong commitment to socialism in both theory and practice. His approach to understanding capitalism, in all its contemporary manifestations, could be summed up in one clear, simple and powerful injunction: *read Marx*. Not the Marx of sociology textbooks or even that of other Marxists, but Marx in the original form tracing the development of his thought through classical political economy to the ultimate critique of that tradition in *Capital*.

For decades at Warwick, Simon's foundational 2-hour seminar, *Marx's Social Theory*, provided a unique opportunity for a sophisticated guided reading of *Capital*, chapter by chapter over 25 weeks. It was an intellectually transformative process revealing not only the immense significance of Marx but also the superficiality of most critics of Marx. Simon, of course, was past master at dismissing such critics secure in the knowledge that very few had read Marx in the original and even fewer had understood the unity of Marx's early and later work. The problem, Simon would carefully explain, with sociological and other so-called post-Marxist critiques is that they see the 'economy'/'production relations' and 'civil society' at the same level of abstraction. However, the point of Marx's analysis is that it is an *abstract* analysis of the 'anatomy of civil society'. The relations of production are not an autonomous 'sphere', but the skeleton of civil society (i.e. the most fundamental relations). However, they *appear* in diverse concrete forms such as civil society and the state. The historically specific social relations on which capitalism is built assume the form of 'economic' relations (the commodity form), 'political' relations (the state form) and 'ideological' relations (the form of thought and culture). The 'economy' does not determine other 'spheres', rather social reproduction is inserted within, and subordinate to, the reproduction of the social relations of production not as external constraint but as internal necessity articulated concretely through particular social relations/social institutions and imposed through crisis (in the broadest sense). As Simon would later detail in *Marx's Theory of Crisis* (1994), the root of all capitalist crises remains the fundamental contradiction on which capitalist social relations are based, that between the production of things and the production of value and the subordination of the former to the latter. Simon's careful, detailed and intellectually rigorous understanding of Marx laid the basis for countless new empirical studies under his supervision demonstrating the power of a conceptual framework that increased in relevance and significance with each new crisis of capitalism.

Marx, Marginalism and Modern Sociology (1982) was produced as an offshoot of Simon's course on *Marx's Social Theory*, initially under the manuscript title, *Marx's Critique of Political Economy*. It is a devastating appraisal of the ideological foundations of classical political economy and of the relationship between the marginalist revolution and the development of modern sociology. In summary, Simon suggests that Weberian

social theory abstracts the individual from the social relations within which alone he or she exists as a social individual and seeks to explain social relations as the product of the subjective orientation of action. As such, it presupposes the very social relations which it seeks to explain. By contrast, Marx's critique of the naturalisation of capitalist social relations reveals how the production and reproduction of material things is subordinated to the production and accumulation of surplus value and how the participation of the individual in society is conditional on the individual's insertion into the social relations of production. In this way, Marx offers an alternative foundation on which to build a theory of capitalist society rooted in the concepts of value, surplus value and class. *Marx, Marginalism and Modern Sociology* is an intellectual *tour de force*. It is the only sustained analysis which links the development of modern economics to the emergence of sociology and Simon's analysis of the ideological dimensions of political economy and modern social science opens up invaluable space for an alternative understanding which transcends the limitations of those disciplines.

Simon, of course, had many great strengths – one being the supreme confidence he would bring to drawing on the widest possible field of knowledge unconstrained by the compartmentalisation which characterises modern academic social science. This self-confidence is illustrated perfectly in perhaps his greatest intellectual and political contribution, *Keynesianism, Monetarism, and the Crisis of the State* (1988). *Keynesianism* is iconoclastic, intellectually challenging and full of Simon's typical mix of irony and genuinely perceptive insight. Disregarding the pedantry of the formal academic review process, Simon (Clarke 1988: 19) states early on that he has not 'cluttered the book with extensive bibliographical references to give the account a spurious scholarly authority . . . those familiar with the literature will recognise the iconoclastic elements of my interpretation'. This reveals much about how Simon viewed genuine scholarship – intellectually rigorous, brave, creative, collective, open and of course political. *Keynesianism* is rooted squarely within the analysis of money and the state developed collectively through the work of the Conference of Socialist Economists. Although it focuses in large part on the historical development of the power of money and the state in Britain, it is also a work of comparative significance embodying contemporary relevance and theoretical originality.

Set in the context of the crisis of Keynesianism and the rise of monetarism, Simon took on the ambitious task of grasping the coherence and complexity of the relationship between economics, politics and ideology in the crisis-ridden development of capitalism. His argument in brief is that Keynesianism and monetarism are not populist ideologies as much as ideologies of the state, giving ideological coherence to the institutional framework and policy decisions of the state. The collapse of Keynesianism did not express a popular ideological conversion to monetarism but rather a crisis of the policies and institutions of the Keynesian state which in turn was the expression of a more fundamental crisis in the accumulation of capital. One of the key contradictions inherent in the Keynesian interventionist strategy was that it sought to restore the capitalist valorisation of living labour, re-establishing the profitability of capital, by developing institutional forms of regulation of the working class which at the same time strengthened and unified the representatives of labour. The success of the strategy depended crucially on the ability of capital and the state to accommodate rising wages and public expenditure by

transforming methods of production to meet the challenge of international competition. This shift happened to a limited extent in post-war Austria, Sweden and Germany where the working class exchanged the intensification of labour and structural changes in employment for collaborative incomes policies and welfare benefits built on the relative strength of national economies in relation to world market conditions. In Britain, however, the Keynesian class compromise increasingly appeared as a barrier to both capital (institutionalising labour militancy and increasing pressure on profits) and the working class whose aspirations were increasingly confined within the limits of capital. Thus, the class struggle quickly moved from conflict within the Keynesian state to struggle over the form of the state itself as the pressure of overaccumulation undermined the post-war settlement. In short, the attempt to contain these conflicts within the Keynesian framework led to the progressive disintegration of Keynesianism through the 1970s opening the door to the rise of the New Right and the adoption by the state of the doctrine of monetarism. The strength of monetarism was not intellectual or analytical but purely ideological inasmuch as it could articulate (in mystified form) growing popular opposition to the bureaucratic and authoritarian forms of the capitalist state while reasserting naïve classical faith in the efficiency of the market. Monetarism could not of course remove the tendency to the overaccumulation of capital. On the contrary, it intensified the overaccumulation and uneven development of capital which by the 1980s was accommodated by the expansion of domestic credit and international debt.

Within this powerful and persuasive theoretically informed empirical analysis, Simon develops a distinctive conceptualisation of the state based on Marx's early discussion of the formal separation of the capitalist state from civil society. The historical process through which the capitalist state emerged represented a change in the form of the state underlying which was a change in the social relations of production. In Simon's analysis, the capitalist state is the political form of capitalist social relations. The state secures the general interest of capital not by overriding the rule of the market, but by enforcing the rule of money and the law, which are the alienated forms through which the rule of the market is imposed not only on the working class but also on all particular capitals. This however does not resolve the contradiction between the individual and social interests of particular capitals, but gives rise to periodic crises which call for the intervention of the state. The class character of the state does not therefore lie in it expressing the interests of capitalists, but in its form as the concentrated power of capitalist society. In this reading, the liberal form of the capitalist state is the most appropriate form to secure the political power of the bourgeoisie as their social power is embodied in the abstract form of money. However, as Simon perceptively clarifies, the substance of state power, as the power of a particular class, contradicts its form, as expression of the general interest. It is this contradiction at the heart of the liberal form that governments constantly seek to resolve through universalistic claims to be the embodiment of the general interest, the neutral arbiter of all particularistic interests. In the liberal form of the state, the working class is the *object* of state power. The historical development of the capitalist state can thus be analysed as a response to the development of the class struggle. The state attempts to channel that struggle into arenas such as 'industrial relations', 'electoral representation', 'social welfare' and 'economic policy'. However, this attempt to institutionalise class

struggle into alienated political forms requires constant surveillance and is always provisional as the class struggle constantly tends to overflow these forms (Clarke 1991: 53).

The overall aim of *Keynesianism* is not simply to articulate a sophisticated theory of the state – rather Simon's aim is essentially political. By theorising the capitalist state form and showing its historical development in terms of the British experience, he develops a thorough-going critique of social democracy, liberal market theory and all variants of reformism. Social democracy fetishizes the democratic form of the state, and ignores its class character, which leads it to confront the social struggles of the working class as a barrier to socialism rather than its social foundation. Working class struggles within Keynesian projects reproduce the contradictory form of the capitalist state inasmuch as struggle is divided into trades unionism and electoral politics. Far from overcoming the contradictory form of the capitalist state – which dictates that the class struggle is necessarily a struggle 'in and against the state' – social democracy reproduces that contradiction within its own ranks, dividing and fragmenting the social and political struggles of the working class. The failure of the Left to confront this theoretical and practical issue underlies the polarisation of social and political struggle, exacerbating divisions within the working-class movement. In perhaps his greatest and most enduring contribution, Simon's insightful analysis reveals with perfect clarity both the limits of pursuing change through the liberal form of the state and the necessity of socialism.

Simon did not of course restrict his focus to an analysis of the 'liberal democratic' state. Post-*Keynesianism*, he extended his critical insights to the emerging post-Soviet state opening up questions relating to worker agency and mobilisation in Russia in the 1990s and early 2000s (Borisov et al. 1994; Clarke 2009). Reflecting his long-standing commitment to collaborative research, he addressed transition topics as they unfolded in many of the so-called former state socialist societies (Clarke & Pringle 2009; Clarke et al. 1993). Simon made an immense contribution not only to the academic world but also to everyone interested in true progressive social change. His unique and sophisticated fusion of conceptual and empirical analysis, above all, emphasised the limits of reform within capitalism and clarified that

> the task of socialism is not to mimic the alienated forms of capitalist power by imposing unity on fragmented struggles from above, but to challenge the division between civil society and the state by giving the emerging unity of working class struggles a political form which will express not the illusory community of the liberal state but the real community of human social life. (Clarke 1988: 365)

References

Borisov V, Fairbrother P and Clarke S (1994) Is there room for an independent trade unionism in Russia? Trade unionism in the Russian aviation industry. *British Journal of Industrial Relations* **32**: 359–378.

Clarke S (1982) *Marx, Marginalism and Modern Sociology*. London: Palgrave Macmillan.

Clarke S (1988) *Keynesianism, Monetarism, and the Crisis of the State*. Aldershot: Edward Elgar Publishing.

Clarke S (1991) The state debate. In: Clarke S (ed.) *The State Debate*. London: Palgrave Macmillan, pp. 1–69.

Clarke S (1994) *Marx's Theory of Crisis*. London: Palgrave Macmillan.
Clarke S (2009) *The Development of Capitalism in Russia*. London: Routledge.
Clarke S and Pringle T (2009) Can party-led trade unions represent their members? *Post-Communist Economies* **21**: 185–101.
Clarke S, Fairbrother P, Burawoy M, et al. (1993) *What about the Workers? Workers and the Transition to Capitalism in Russia*. London: Verso Books.

Author biographies

Peter Burnham is a Professor of Politics and International Studies at the University of Birmingham. He completed a PhD under Simon Clarke's supervision in the 1980s and has sought, through teaching and research, to develop Simon's distinctive approach to understanding capitalism.

Werner Bonefeld is a Professor of Politics at the University of York. His latest publication is *A Critical Theory of Economic Compulsion*.

Peter Fairbrother is a Professor, Tasmanian School of Business and Economics, University of Tasmania, and Affiliated Professor, HEC, Montréal. In the 1990s with Simon Clarke, he initiated a long-term collaborative research initially focusing on the restructuring of industrial management and industrial relations in the repositioned Russian state. They worked with 25 researchers, enhanced research capacities and published widely. His long-standing research focus is on work and employment, and collective forms of worker resistance.